

Amazon.com, Inc.
AMZN NASDAQ

Buy	\$256.93 ▼ 0.76%	12M Price Target \$310.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.77T
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AMZN: Nvidia Deal Signals AWS AI Arms Race Heating Up

WHAT HAPPENED

- Stock dipped 0.76% on light volume (12.7M vs usual 25-45M) — this is a nothing-burger drift, not real selling. The bigger story: news broke that Amazon committed to buying 2 million Nvidia GPUs, which is a massive AI capex signal. Market's shrugging today but this locks in AWS's ability to compete with Microsoft Azure and Google Cloud for the next 2-3 years.
- DOJ expanded its beef-pricing probe to include Amazon and other big retailers. Small headline, but it's another brick in the wall of Trump-era antitrust scrutiny on Big Tech/Big Retail — worth tracking.

WHY IT MATTERS

The 2 million GPU order is a huge tell — Amazon is essentially pre-paying for AI infrastructure at a scale that says "we're not losing the cloud AI race." That's bullish long-term but pressures near-term free cash flow (they're spending ~\$125B+ in capex this year, which is why the stock isn't ripping higher despite great fundamentals). The DOJ beef probe looks minor now, but it fits a pattern: this administration is comfortable using antitrust tools against retailers, and Amazon is always target #1. Meanwhile, record-high diesel prices are a direct hit to Amazon's logistics costs — every penny at the pump flows through to their fulfillment margins, so watch Q3 retail operating income for compression.

POLICY & POLITICAL WATCH

Two things to watch: (1) The DOJ's expanding antitrust posture — the beef probe is small, but the same administration has ongoing cases against Amazon's marketplace practices, and any structural remedy (like forcing them to separate AWS from retail) would be a stock-mover. (2) China tariff policy — Amazon's third-party sellers source heavily from China, and any escalation raises prices for consumers OR squeezes seller margins (which hits Amazon's take-rate). The offsetting tailwind: federal AI spending and the CHIPS Act framework indirectly benefits AWS as government agencies migrate workloads to cloud.

IS IT EXPENSIVE?

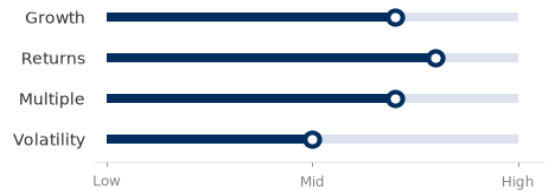
At roughly 37x forward earnings, you're paying \$37 for every \$1 of next year's profit — that's a premium to the S&P (around 22x) but reasonable for a company with AWS growing ~18-20% and a retail business finally producing real margins. On EV/EBITDA around 18x, it's actually cheaper than Microsoft (~22x) despite similar AI exposure. The valuation is justified if AWS reaccelerates; it looks expensive if the capex cycle drags on without revenue payoff.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$256.93
12M Price Target	\$310.00
Upside / (Downside)	+20.7%
Market Cap	\$2.77T
FY2026E Revenue	\$745M
FY2027E Revenue	\$835M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	37.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$262.00	\$245.00
6 Months	\$300.00	\$275.00	\$235.00
1 Year	\$340.00	\$310.00	\$220.00
2 Years	\$400.00	\$350.00	\$240.00
5 Years	\$550.00	\$450.00	\$280.00
10 Years	\$900.00	\$650.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+0.62%) leading again — AI infrastructure spending narrative is the only game in town, and every Nvidia partnership announcement lifts the whole complex.

COOLING OFF: Consumer Staples (-0.32%) and Materials — classic risk-on rotation, defensives are getting sold to fund growth names.

ROTATION WATCH: Money is flowing into AI infrastructure winners (Nvidia, hyperscalers) and out of anything commodity-exposed. The 2M GPU headline reinforces the theme — capital is chasing whoever can build the biggest AI compute stack.

RELATED PLAY: If you believe AWS wins the AI cloud race, the picks-and-shovels beneath THAT are data center REITs (Digital Realty, Equinix) and power/utility names selling to hyperscalers — those benefit whether AMZN, MSFT, or GOOGL wins.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Guiding 70% revenue growth for FY2028 vs 44% Street estimate — Amazon's GPU order is literally in that number
- MSFT (Microsoft): Azure AI monetization is further along, giving it multiple support that AMZN is trying to catch

AMZN CONTEXT: Amazon is lagging the pure AI plays (NVDA, MSFT) because investors see it as a "hybrid" — retail drag plus cloud upside. That relative underperformance is actually the opportunity: if AWS AI revenue starts showing up in prints, the multiple gap closes fast.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid buy but not pounding the table; the AI story is real but capex-heavy and Washington is a wildcard.

POSITION SIZE: 4-6% of portfolio — this is a core mega-cap, but I wouldn't over-index given the antitrust overhang.

ENTRY POINTS: Add on pullbacks to \$248-255. Options flow shows heavy put buying at \$257.50 for September expiry — that's likely hedging, but it also means near-term support could be tested.

TIME HORIZON: 12-24 months — you're waiting for AI revenue to show up in AWS growth numbers, probably Q4 2026 / Q1 2027 prints.

WHEN TO BAIL: AWS growth drops below 15%, DOJ files for structural breakup, or capex guidance jumps another 20% without revenue to match.

HEDGING: If you're nervous, buy some downside protection (puts) around the \$245 strike, or pair-trade against a weaker retailer to isolate the AWS bet. Simpler: just size the position smaller and let it work.